

Anticipated acquisition by Iron Mountain Incorporated of Recall Holdings Limited

Decision on relevant merger situation and substantial lessening of competition

ME/6568/15

The CMA's decision on reference under section 33(1) of the Enterprise Act 2002 given on 30 December 2015. Full text of the decision published on 5 February 2016.

Please note that [X] indicates figures or text which have been deleted or replaced in ranges at the request of the parties for reasons of commercial confidentiality

SUMMARY

1. Iron Mountain Incorporated (**Iron Mountain**) has agreed to acquire Recall Holdings Limited (**Recall**) (the **Merger**). Iron Mountain and Recall are together referred to as the **Parties**.
2. The Competition and Markets Authority (**CMA**) believes that it is or may be the case that the Parties will cease to be distinct as a result of the Merger, that the share of supply test is met and that accordingly arrangements are in progress or in contemplation which, if carried into effect, will result in the creation of a relevant merger situation.
3. In the UK, the Parties overlap in the supply of records and information management services (**RIMS**), in particular records management services (**RMS**) and physical offsite data protection services (physical **OSDP**). RMS comprise the storage and retrieval of paper and hard copy records. Physical OSDP involve the storage and retrieval of data on tapes and discs.
4. The Parties provide RMS and physical OSDP to national customers, local/regional customers, and oil and gas customers with more specialist requirements. Due to the different types of customers served, the CMA believes that there are national and local/regional aspects to competition for these services.

5. The CMA has therefore assessed the impact of the Merger in relation to:
 - (a) The supply of RMS to national customers in the UK;
 - (b) The supply of physical OSDP to national customers in the UK;
 - (c) The supply of RIMS, including specialist services, to oil and gas customers in Aberdeen and Dundee;
 - (d) The supply of RMS to local customers on a local/regional basis; and
 - (e) The supply of OSDP to local customers on a local/regional basis.
6. The CMA has considered a broad range of evidence in conducting its competitive assessment of the Merger, including: shares of supply and capacity; the geographic scope of competitors' offerings; customer switching and bidding data; indications of competitive positioning in internal sales documents provided by the Parties and by third parties; and third party views on competition.
7. The evidence received by the CMA consistently indicated that the Parties will have high combined shares of supply, are close competitors and that the constraint from remaining competitors may not be sufficient to offset the loss of competition resulting from the Merger. In particular, most of the customer complaints received referred to the loss of competition and lack of choice that would result post-Merger.
8. Based on the evidence it received during its investigation, the CMA considers that countervailing constraints in terms of entry and expansion by rival suppliers is likely to be insufficient to mitigate this loss of competition.
9. The CMA therefore considers that the Merger gives rise to a realistic prospect of a substantial lessening of competition (**SLC**) as a result of horizontal unilateral effects in the supply of records management and offsite data protection services in the UK. In the light of the national concerns, the CMA did not find it necessary to conclude on the realistic prospect of an SLC in the supply of RMS and OSDP on a local/regional basis.
10. With regard to the supply of RIMS to oil and gas customers in Aberdeen and Dundee, the CMA found that the Parties account for a very high share of supply and that only one other competitor was considered to be credible by the customers we contacted. The CMA therefore considers that the Merger gives rise to a realistic prospect of a substantial lessening of competition as a result of horizontal unilateral effects in this market.

11. The CMA therefore believes that the Merger gives rise to a realistic prospect of an SLC as a result of horizontal unilateral effects.
12. The CMA is therefore considering whether to accept undertakings in lieu of reference under section 73 of the Enterprise Act 2002 (**the Act**). The Parties have until 7 January 2015 to offer an undertaking to the CMA that might be accepted by the CMA. If no such undertaking is offered, then the CMA will refer the Merger pursuant to sections 33(1) and 34ZA(2) of the Act.

ASSESSMENT

Parties

13. Iron Mountain is a provider of RIMS in the UK. Iron Mountain's turnover in the financial year ending 31 December 2014 was around £1.9 billion worldwide of which approximately £170 million was generated in the UK.
14. Recall is a provider of RIMS in the UK. Recall's turnover in the financial year ending June 2015 was around £524 million worldwide of which approximately £[✂] million was generated in the UK.

Transaction

15. The Merger relates to the purchase by Iron Mountain of Recall by way of a court sanctioned Scheme of Arrangement. On completion, Iron Mountain will hold all of the ordinary shares of Recall and Recall's existing shareholders will own approximately 21% of Iron Mountain's share capital.
16. The Parties informed the CMA that the Merger is also the subject of review by competition authorities in Australia, Canada and the United States.

Jurisdiction

17. As a result of the Merger, the enterprises of Iron Mountain and Recall will cease to be distinct.
18. As further set out below, the Parties overlap in the supply of RIMS in the UK, with a combined share of supply by revenues of over 25% (combined [50–60]%, increment [5–10]%). The CMA therefore believes that the share of supply test in section 23 of the Act is met.
19. The CMA therefore believes that it is or may be the case that arrangements are in progress or in contemplation which, if carried into effect, will result in the creation of a relevant merger situation.

20. The initial period for consideration of the Merger under section 34ZA(3) of the Act started on 3 November 2015 and the statutory 40 working day deadline for a decision is therefore 30 December 2015.

Counterfactual

21. The CMA assesses a merger's impact relative to the situation that would prevail absent the merger (ie the counterfactual). For anticipated mergers the CMA generally adopts the prevailing conditions of competition as the counterfactual against which to assess the impact of the merger. However, the CMA will assess the merger against an alternative counterfactual where, based on the evidence available to it, it believes that, in the absence of the merger, the prospect of these conditions continuing is not realistic, or there is a realistic prospect of a counterfactual that is more competitive than these conditions as between the Parties.¹
22. The CMA may be required to consider a merger at a time when there is the prospect of another merger in the same market (ie, a parallel transaction).² In such circumstances, the relevant question that the CMA seeks to answer is whether the transaction under review gives rise to a realistic prospect of an SLC. When considering parallel transactions the CMA is likely to consider whether the statutory test would be met if the parallel transaction were to proceed and also to consider whether the statutory test would be met if the parallel transaction were not to proceed.³
23. In parallel to this case, on 4 November 2015, Restore Plc (**Restore**), announced that it would acquire the records management business of Wincanton plc (**Wincanton**). This transaction completed on or around 7 December 2015. During its investigation into the Merger, the CMA considered that the transaction between Restore and Wincanton may be a parallel transaction for the purposes of its assessment. Therefore, the CMA assessed the Merger against both the pre-Merger conditions of competition (ie, absent the mergers of both Restore/Wincanton and Iron Mountain/Recall) and, in the alternative, against the conditions of competition that would exist if Restore were to acquire Wincanton but absent the merger between Iron Mountain/Recall).

¹ *Merger Assessment Guidelines* (OFT1254/CC2), September 2010, from paragraph 4.3.5. The *Merger Assessment Guidelines* have been adopted by the CMA (see *Mergers: Guidance on the CMA's jurisdiction and procedure* (CMA2), January 2014, Annex D).

² See the Merger Assessment Guidelines at footnote 46, which explains that a parallel transaction is considered as part of the counterfactual on the basis that it would occur whether or not the merger takes place. In this context, a parallel transaction is one which is either anticipated or which has been completed but remains subject to the possibility of being unwound as a result of intervention by the CMA under the Act.

³ See the Merger Assessment Guidelines at paragraphs 4.3.25 *et seq.*

24. However, on the evidence available, as the CMA could not exclude the realistic prospect of an SLC on a pre-Merger basis, the CMA has not found it necessary to discuss the alternative counterfactual in this decision.

Frame of reference

25. The CMA considers that market definition provides a framework for assessing the competitive effects of a merger and involves an element of judgement. The boundaries of the market do not determine the outcome of the analysis of the competitive effects of the merger, as it is recognised that there can be constraints on merger parties from outside the relevant market, segmentation within the relevant market, or other ways in which some constraints are more important than others. The CMA will take these factors into account in its competitive assessment.⁴
26. The Parties overlap in the supply of a range of RIMS across the UK, operating from a total of 59 sites.⁵ The RIMS which the Parties supply comprise:
- (a) RMS, consisting of the collection, transportation, storage and retrieval of paper documents and other physical records (eg microfiche).
 - (b) OSDP, consisting of the storage of records/data on electronic media such as magnetic tapes and discs (**physical OSDP**) or on a network or cloud (**electronic OSDP**), typically for back-up or disaster recovery purposes. The Parties' activities overlap only with respect to physical OSDP.
 - (c) Ancillary services, consisting of services such as photocopying, document scanning, sale of storage materials and document management consulting services. Given that these services are mostly complementary to RIMS services and sold to RIMS customers by their RIMS provider, the CMA does not consider it necessary to address this overlap separately in what follows. The CMA considers that any conclusions reached on RMS and OSDP also applies to ancillary products sold by the Parties.⁶
27. Recall is also active in the provision of shredding services in the UK. However, the Parties' activities do not overlap in this respect as Iron Mountain sold its shredding activities' business in the UK in November 2014.

⁴ [Merger Assessment Guidelines](#), paragraph 5.2.2.

⁵ 13 Recall sites and 46 Iron Mountain sites.

⁶ With regard to customers who purchase only these services from the Parties (ie, on a stand-alone basis and not in conjunction with RIMS), the CMA does not further address this segment, as the evidence available to the CMA suggests that the volume of these sales is minimal and there is sufficient competition remaining.

28. The Office of Fair Trading (**OFT**) considered the supply of RIMS in its *Iron Mountain/Hays*⁷ decision in 2003. In doing so, the OFT considered a number of potential segmentations for the purposes of the frame of reference.
29. In particular, for the purposes of the product frame, the OFT considered the extent to which it would be appropriate to distinguish between RMS and OSDP. For RMS it considered segmentation by: (i) in-house versus outsourced work; (ii) different contract sizes or national/multi-regional clients; and (iii) general versus more specialist provisioning (ie for oil and gas customers). For OSDP, the OFT also considered whether electronic and physical OSDP should be considered separately.
30. In terms of the geographic frame of reference, based on the submissions it received from the Parties to that transaction, the OFT defined a 45 mile catchment area around the Parties' sites as the appropriate geographic frame of reference. However, in the context of assessing competition for larger (national/multi-regional) customers, it also took account of a national dimension of competition.⁸
31. The CMA considered these distinctions for the purposes of its investigation into the Merger.

Product scope

32. Iron Mountain submitted that the relevant frame of reference should include all RIMS, with no distinction by either service or customer type. Iron Mountain explained that:
- (a) Suppliers can easily switch between RMS and OSDP as where additional or different storage equipment is required for OSDP this can be easily installed by a RMS supplier at minimal cost;
 - (b) As noted by the OFT in *Iron Mountain/Hays*, electronic OSDP is a strong and growing constraint on physical OSDP;
 - (c) Customers' readiness and ability to retain in-house provision exerts a competitive pressure over the entire outsourced business, such that it is not appropriate to consider a narrower segment of vended/out-sourced RIMS.

⁷ Proposed acquisition by Iron Mountain Europe of assets of Hays Plc, OFT, 30 June 2003 (*Iron Mountain/Hays*).

⁸ See page 4, relevant geographic market.

RMS and physical OSDP

33. In the light of the decisional practice noted above and indications of different product characteristics, the CMA considered the extent to which it is appropriate to distinguish between RMS and physical OSDP. In addition to Iron Mountain's submissions outlined above, the CMA considered evidence from third parties responding to the CMA's market testing and the Parties' internal documents.
34. From a demand-side perspective, the evidence from the majority of customers responding to the CMA's market testing and from Iron Mountain's internal documents suggests that customers have distinct requirements for each type of service. In particular, customers noted that RMS and OSDP services are distinct and were used for different purposes. Paper records often have to be stored for legal or regulatory reasons, whereas (as noted above) OSDP services are typically used for back-up and disaster recovery purposes. The majority of customers indicated that they would not substitute between storing records on paper and electronically.
35. An internal Iron Mountain document presenting the results of research on changing trends in records management appears to support the continued need for paper storage services and notes that:
- (a) '[REDACTED]';⁹
- (b) '[REDACTED]'.¹⁰
36. From a supply-side perspective, suppliers responding to the CMA's market testing have indicated that the physical conditions required for storing physical paper records and electronic media differ (eg, electronic media are stored in temperature controlled vaults with inert gas to stop the media from deteriorating). In addition, not all suppliers are active in both RMS and physical OSDP, so the two services are characterised to some extent by different supplier sets and competitive conditions.¹¹
37. Therefore, on the basis of limited demand-side substitution and supply-side considerations, the CMA has considered the impact of the Merger on the supply of RMS and physical OSDP services separately.

⁹ [REDACTED]

¹⁰ [REDACTED]

¹¹ [Merger Assessment Guidelines](#), paragraph 5.2.17.

In-house and out-sourced RMS/physical OSDP

38. In the light of the decisional practice noted above and in the context of Iron Mountain's submissions, the CMA considered evidence on the extent to which it is appropriate to distinguish between in-house and out-sourced RMS/OSDP.

RMS

39. The majority of customer and supplier responses to the CMA's market investigation indicated that customers would not switch from out-sourced to in-house services due to the costs and practicalities (in terms of time and space) of doing so.
40. Therefore, on the evidence available at this stage, the CMA has considered the impact of the Merger on the supply of out-sourced RMS.

Physical OSDP

41. Customers views as to whether they would manage their OSDP requirements in-house in response to a price increase were more mixed. Some customers stated that taking OSDP in-house was something that they would consider and something that they did to a limited extent. However, some customers also indicated that the reason OSDP was outsourced was for disaster recovery purposes and hence in-house provision was not suitable.
42. The CMA therefore notes that for some customers, and some uses of OSDP – in particular, the storage of back-up data for disaster recovery purposes – in-house provision does not appear to be a constraint. Therefore, the CMA has considered the impact of the Merger on out-sourced OSDP.

Physical and electronic OSDP

43. In the light of the decisional practice noted above and in the context of Iron Mountain's submissions, the CMA considered evidence on the extent to which it is appropriate to distinguish between physical and electronic OSDP.
44. However, there is limited evidence available to the CMA at this stage supporting the inclusion of electronic OSDP in the frame of reference. In particular:
- (a) Electronic and physical OSDP are characterised by different supplier sets;
 - (b) While one supplier noted that it thought the demand for physical OSDP would decline over time due to the uptake of electronic OSDP, they noted that this did not seem to be happening.

45. Therefore, on the balance of the limited evidence available and given that the Parties do not overlap in relation to electronic OSDP, the CMA has not expanded the frame of reference to include electronic OSDP. Nonetheless, the CMA has considered the constraint from electronic OSDP in its competitive assessment where the evidence supports the existence of such a constraint.

RIMS to oil and gas customers

46. In the light of the decisional practice flagged above, the CMA has considered whether it would be appropriate to assess the supply of RIMS to oil and gas customers separately. The CMA has considered Iron Mountain's submissions in the context of any evidence that oil and gas customers may require some more specialised and differentiated services in addition to general RMS/OSDP services (eg storage and access to large geological core samples from oil wells).
47. Iron Mountain submits that services to oil and gas customers should not be viewed as a distinct frame of reference. In particular, Iron Mountain submitted that the facilities required to offer services to specialist customers are no different to RIMS facilities in general. For example, Recall's Aberdeen facility stores core samples on shelving intended for documents, does not hire trained specialised staff and its viewing facilities are not particularly specialised (despite being actively promoted by Recall¹² and highly rated by customers).
48. From a demand-side perspective, responses from oil and gas customers consistently indicate that these customers have distinct and specific requirements when choosing a RIMS provider (eg, viewing rooms, experience in handling seismic data/core samples, specialised staff for tape transcription, specific environmental controls, etc (**specialist services**)). In particular, customers appeared to rate suppliers that were perceived to be able to provide good core storage and viewing facilities more highly.
49. In terms of supply-side considerations, the CMA notes that the evidence is more mixed. The CMA notes that the nature of specialist services can vary. In that context, although Iron Mountain may offer some significantly specialist

¹² The relevant Recall facilities are those acquired in Aberdeen and Dundee as part of its acquisition of C21 in August 2015. Both the C21 website and [§] for the purposes of the sale make reference to the oil and gas specific provisioning. For example, the C21 [website](#) states: 'Our purpose built viewing facilities have been highly commended by geologists as being among the best they have used and include a fully equipped viewing room with separate project offices. Provided, free of charge, as part of our range of services are secure wireless internet access and refreshments for our visitors.'

components,¹³ evidence from respondents to the CMA's market testing indicates that some of the features customers value may be relatively easy for a general RIMS supplier to provide (ie core viewing facilities).

50. Nonetheless, given the consistent demand-side evidence, the CMA has at this stage assessed the impact of the Merger on the supply of RIMS,¹⁴ including specialist services, to oil and gas customers separately. However, the CMA has also considered any evidence on the constraint from general RIMS suppliers in its competitive assessment.

Conclusion on product scope

51. For the reasons set out above, the CMA has considered the impact of the Merger in the following product frames of reference:

- (a) The supply of RMS;
- (b) The supply of physical OSDP (henceforth referred to as **OSDP**); and
- (c) The supply of RIMS, including specialist services, to oil and gas customers.

Geographic scope

Local/regional dimension

52. Iron Mountain submitted that the relevant geographic frame of reference is metropolitan/regional for broadly the following reasons:

- (a) Customers' preference for proximity to allow for short retrieval times;
- (b) Differences in supplier sets across different regions; and
- (c) Regional price variations.

53. Therefore, following the OFT's decision in *Iron Mountain/Hays*, Iron Mountain submitted that the relevant regional scope should be identified by reference to a catchment area of 45 to 50 miles around a Recall site.

¹³ The CMA notes that Iron Mountain promotes a 'bespoke off-site storage solution for core samples, seismic tapes, maps, and reports.' This facility employs qualified geologists and has core viewing facilities with a range of lighting options (such as daylight viewing and UV). Iron Mountain [case study: Rock solid bespoke storage solution](#).

¹⁴ Customers tend to purchase general RMS and OSDP services from the same supplier, with the choice being led by that supplier's specialist offering, indicating that it is appropriate to consider the supply of all RIMS together to these suppliers.

54. In line with decisional practice and in the context of Iron Mountain's submissions, the CMA considered that the competitive assessment for customers with requirements from a single site or from multiple sites within a certain region/area (for simplicity, referred to in what follows as 'local' customers) should be locally/regionally focused. The CMA considered evidence from third parties and the Parties in order to determine the appropriate catchment areas across which this assessment should be based, as outlined below.

RMS

55. All customer responses confirmed the importance of retrieval times and that shorter retrieval times generally required suppliers to be located within 30 to 50 miles of the customer site.
56. Suppliers also noted that a maximum distance from a customer site was necessary in order to meet optimal retrieval times (eg, 50 miles for two hour retrieval) but that storage/customer proximity would be managed in accordance with retrieval patterns, such that some customers' records may be stored further away from customers if they are unlikely to be retrieved. [X].
57. Therefore, on the basis of the evidence outlined above, the CMA has assessed the impact of the Merger on local customers on a local/regional basis using two distances around each Recall site: (i) 50 miles; and (ii) Recall's estimated 80% catchment areas, while noting the reliability of the latter for the purposes of the competitive assessment (as explained further in paragraph 140(a) below).¹⁵

Physical OSDP

58. In relation to physical OSDP, customer views on the preferred distance from suppliers was more mixed. Some customers noted the importance of a maximum distance (for disaster recovery purposes) from a supplier as a potential factor in decision making, where physical OSDP was being used for back-up purposes.
59. However, on the balance of the evidence available, the CMA has assessed the impact of the Merger on local customers on a local/regional basis using the catchment areas described above for the supply of RMS.

¹⁵ The CMA notes that the CMA's general approach at phase 1 would be to consider only the narrower catchment area. However, on the facts here, the result on the basis of each catchment area is the same due to the number of Iron Mountain sites, as explained further below.

RIMS to oil and gas customers

60. The Parties' activities only overlap in relation to oil and gas customers in Aberdeen and Dundee. Iron Mountain submitted that oil and gas customers demand RIMS services, including any specialist service, over the Dundee and Aberdeen area. Oil and gas customer responses indicated that proximity to their supplier was an important factor in choosing a supplier. Therefore, the CMA has assessed the impact of the Merger on the supply of RIMS, including specialist services, to oil and gas customers in Aberdeen and Dundee.

National dimension

61. Responses to the CMA's market testing highlighted that some customers will have requirements for RIMS from multiple sites spread across a number of geographically dispersed regions. These multi-region requirements necessarily vary across customers and can involve as few as two regions¹⁶ or the whole of the UK. For simplicity, in what follows customers with multi-region requirements are referred to as 'national' customers.
62. Therefore, in the context of this evidence on customer requirements and in the light of the decisional practice outlined above, the CMA also considered whether it was appropriate to define a national frame of reference for RMS and OSDP.
63. As part of this assessment, the CMA considered in particular whether:
- (a) national customers required a single supplier for their needs; and
 - (b) local/regional providers were able to form consortia to compete for national customers.
64. The CMA tested these issues against evidence from: (i) the Parties' submissions and evidence on national requirements and multi-sourcing; (ii) evidence from the Parties' internal documents; and (iii) third party responses to the CMA's market testing.

Iron Mountain's submissions

65. In addition to their submissions on local/regional scope, the Parties submitted that a national frame of reference would not be appropriate as:

¹⁶ In this context, the CMA has considered customer's presence across administrative regions in the UK noted in footnote 17 below.

(a) customers with 'national'¹⁷ requirements only account for a [] proportion of the Parties' revenues, such that it is inappropriate to consider them separately; and

(b) customers with 'national' requirements can and do multi-source, such that their requirements are more appropriately assessed on a regional basis. The evidence provided by the Parties in this regard is considered below.

- *Customer revenues*

66. The CMA estimates that revenues from sales to national customers are approximately 30% of total revenues in the UK market.¹⁸ While the revenues from 'national' customers do not account for as large a proportion of the Parties' revenues as other customers, this does not indicate that these customers do not have distinct requirements in their choice of supplier.

- *Multi-sourcing from customer lists*

67. Iron Mountain submitted that []%¹⁹ of its customers currently multi-source their RMS requirements and that a significant number of these are national customers. Based on information provided by Iron Mountain regarding the geographic scope of these customers' requirements and using revenue data (where available), the CMA estimates that multi-sourcing national customers may account for approximately [] Iron Mountain's national customers by revenue.²⁰

68. However, the CMA notes that the accuracy and completeness of this data in terms of identifying national versus local customers and the availability of contract values is questionable, and this casts some doubt on the reliability of this estimate. The CMA also notes that no information was provided about why these customers were multi-sourcing (eg, whether multi-sourcing was

¹⁷ Iron Mountain submits that a national customer can be characterised as one active over four or more administrative regions of the UK, these regions being: Scotland, North East, North West, Yorkshire and the Humber, East Midlands, West Midlands, East, London, the South East, the South West, Wales and Northern Ireland.

¹⁸ Based on a third party estimate.

¹⁹ [] out of [] customers.

²⁰ The value of approximately [] of the [] customer contracts was provided. The CMA attributed a 'local' or 'national' description to these customers based on information given by Iron Mountain on awareness as to which administrative regions Iron Mountain and the other suppliers served. Where it appeared that two or more administrative regions were served, broadly speaking based on the general description given, or the customer was marked as 'national' by Iron Mountain, the CMA characterised the customer as national.

reflective of a legacy position²¹ or an active choice in response to prices), which limits the CMA's ability to interpret this evidence on multi-sourcing.

69. Notwithstanding the caveats highlighted above, the CMA considers that this evidence indicates that only [X] proportion ([5–10]%) of Iron Mountain's customers currently multi-source their RMS requirements, and a significant proportion of national customers have in fact chosen to source through a single supplier.

- *Opportunities data*

70. Iron Mountain also provided information on contract opportunities [X] considered by the Iron Mountain [X] in the last 18 months. This [X] reviews around 90% of the opportunities valued at [X]. This was equivalent to around [X] opportunities over this period.
71. Of these, there were [X] instances in which Iron Mountain was able to indicate whether the contract was awarded to a single provider, multiple providers, or was still in negotiation.
72. Of these [X] instances:
- (a) [X] were awarded to a single supplier;
 - (b) [X] were awarded to multiple suppliers; and
 - (c) [X] are still under negotiation/to be decided.
73. Furthermore, Iron Mountain submitted that in [X] instances where the customer was multi-sourcing, this customer had initially requested a single supplier. Iron Mountain submitted that this could be considered indicative of customer behaviour in the event of a hypothetical post-Merger price increase.
74. The CMA notes that the completeness of this data is clearly limited as information on sourcing preference is available in only [X] out of [X] opportunities valued at [X]. In addition, as highlighted above, no indication was provided as to why customers were multi-sourcing, which again limits the extent to which this evidence can be relied upon.
75. Notwithstanding these limitations, the CMA considers that this opportunity data may be more indicative of larger/national customer requirements due to the large size of the opportunities considered. On that basis, that fact that out

²¹ Ie where a customer has awarded a contract for new storage to a different supplier but have not transferred their existing storage. This also likely includes customers who bought other businesses over the years and decided to keep separate RIMS suppliers for the legacy records of the acquired companies.

of [REDACTED] opportunities for which there is information about single or multi-sourcing, [REDACTED] were awarded to a single supplier, suggests a substantial preference for single sourcing by large customers.

Internal documents

76. Recall's internal documents in the context of its Scottish expansion via the acquisition of C21²² indicate that a national network/scale is an important factor to being able to compete effectively for certain customers. In particular:
- (a) [REDACTED]: '[REDACTED]';²³
- (b) [REDACTED]: '[REDACTED]'.²⁴

Third party responses

77. Responses received from national customers indicated that, although these customers find retrieval times and therefore the relative locality of suppliers to their sites to be important, they also have a preference for a single supplier for RMS and OSDP and they would not consider using a consortium of suppliers to provide national coverage. Reasons cited included the wish to build strong supplier relations with a single supplier, benefit from lower prices, and greater control of documents. In particular, although some of these customers are currently supplied by a number of suppliers, these customers consistently indicated that this was for legacy reasons (eg as a result of business expansion/acquisition) rather than active choice.
78. Competing suppliers recognised the existence of national customers and increasing preferences for a single supplier due to cost and efficiency reasons, even if, according to one supplier's experience, this sometimes proved difficult for customers to achieve in practice for a variety of factors relating to internal customer organisation and efficiency in implementing changes. Suppliers also noted the importance of having a certain minimum national network for the purposes of being able to compete for certain customers' requirements.

Conclusion on national dimension

79. On the basis of evidence from: (i) third parties responding to the CMA's market testing; and (ii) the Parties' internal documents, the CMA considers

²² C21 was RIMS operator based in Scotland. Recall completed its acquisition of C21 in August 2015.

²³ [REDACTED]

²⁴ [REDACTED]

that for national customers competition also has a national dimension. Furthermore, the evidence submitted by the Parties on multi-sourcing and revenues does not contradict this and could be interpreted to further support this position.

80. Therefore, the CMA has considered the impact of the Merger on the supply of RMS and OSDP to national customers on a national (UK) basis.
81. In this context, the CMA notes that different suppliers have somewhat different geographic footprints. As such, the CMA has considered the strength of the competitive constraint between the Parties and their competitors across the various regions of the UK in the competitive assessment.

Conclusion on frame of reference

82. For the reasons set out above, the CMA has considered the impact of the Merger in the following geographic frames of reference:
- (a) supply of RMS to national customers in the UK;
 - (b) supply of OSDP to national customers in the UK;
 - (c) supply of RMS to local customers on a local/regional basis;
 - (d) supply of OSDP to local customers on a local/regional basis; and
 - (e) supply of RIMS, including specialised services, to oil and gas customers in Aberdeen and Dundee.

Competitive assessment

Horizontal unilateral effects

83. Horizontal unilateral effects may arise when one firm merges with a competitor that previously provided a competitive constraint, allowing the merged firm profitably to raise prices or degrade quality on its own and without needing to coordinate with its rivals.²⁵ Horizontal unilateral effects are more likely when the merger parties are close competitors. The CMA assessed whether it is or may be the case that the Merger has resulted, or may be expected to result, in an SLC in relation to unilateral horizontal effects in the:

²⁵ [Merger Assessment Guidelines](#), from paragraph 5.4.1.

- (a) supply of RMS to national customers in the UK;
 - (b) supply of OSDP to national customers in the UK;
 - (c) supply of RMS to local customers on a local/regional basis;
 - (d) supply of OSDP to local customers on a local/regional basis; and
 - (e) supply of RIMS, including specialist services, to oil and gas customers in Aberdeen and Dundee.
84. The CMA has considered a broad range of evidence in conducting its competitive assessment of the Merger including, where available, evidence on: shares of supply and capacity; the geographic scope of competitors' offerings; customer switching and bidding data; indications of competitive positioning in internal sales documents provided by the Parties and by third parties; and third party views on competition.
85. The CMA has used this evidence to assess both the closeness of competition between the Parties (and therefore the extent of the competitive constraint that would be lost by the Merger) and the extent of the competitive constraints exerted by alternative suppliers that would remain, post-Merger.

Supply of RMS to national customers in the UK

Reasons for metrics used

Shares of supply by revenue

86. The CMA considers that on the balance of the considerations outlined below, shares of supply by revenue arising from sales to national customers provides an important indication of the relative competitive strength of the various national RMS suppliers for the purposes of its assessment of this Merger.
- (a) Iron Mountain submitted that revenue-based shares are not significant as: They reflect [X] revenue that Iron Mountain continues to realise on long-archived records, while they understate the competitive significance of other RMS suppliers (like Crown and Restore) who have grown dramatically in recent years.
 - (b) Iron Mountain noted the evidence from third parties received by the CMA indicating that switching costs are high due to the presence of permanent withdrawal fees (**perm-out fees**), which are charged to customers who wish to have their existing boxes returned and switch to another RMS supplier. Iron Mountain argued that this could suggest that, to the extent

that these costs prevent switching, the impact of the Merger would be more focused on new customers or those implementing a soft termination (ie only moving new requirements to a new supplier) than on the existing installed base of customers. Therefore, shares of supply by revenue could reflect historic market positions (over existing installed base of customers) more than future market positions (over new customers) of the various suppliers and, as such, are not a useful indicator of any Merger effect.

87. The CMA disagrees with the argument advanced by Iron Mountain. The CMA believes that in this market revenue-based shares are informative of the scale of the relevant market players and of the potential merger effect as:

- (a) Almost all of the suppliers considered below have been active in the market for many years, so the CMA would expect the shares by revenue to reflect historic positions of the parties as well as of their main national competitors.
- (b) The available evidence shows that perm-out fees create artificial switching costs but do not prevent switching altogether. Hence the CMA considers that it would be incorrect to attempt to limit the merger effect to new customers/new requirements of existing customers.
- (c) Furthermore, on the evidence available regarding pre-Merger pricing, the CMA cannot rule out a Merger effect on some of the combined installed base of customers.²⁶

88. Separately, the CMA notes that shares of supply by revenue are also indicative in this context as, evidence from Iron Mountain and third parties indicates that RMS are broadly undifferentiated and that there is a large focus on price, though suppliers remain differentiated in terms of the scale and geographic scope of their networks and therefore in their ability to meet certain retrieval times.

Shares of sites and capacity

89. The CMA considers that shares of sites can also be informative in this context as they provide an indication of the scale of the network held by these competitors both locally/regionally and at the national level. However, shares of sites do not take into account the different sizes (and therefore capacity) of each provider's sites and the difference between shares of supply by revenue

²⁶ Eg, see paragraph 98(c), regarding Recall's pricing relative to Iron Mountain's. Some third parties also indicated that Iron Mountain had tended to charge higher prices.

and sites indicates that the Parties' sites may generally be larger. Therefore, the CMA has also considered shares of capacity.

Shares of supply by revenue, number of sites and capacity

90. On the basis of the considerations outlined above, as shown in Table 1 below, the CMA has estimated shares for the Parties and the competitors identified as 'leading' or 'large' competitors by Iron Mountain in its submissions (namely Restore, TNT, Crown, Wincanton, PHS, Box-IT) (referred to as **large rivals**) on the basis of the following measures:

(a) shares of supply by revenue from national customers;²⁷

(b) shares of supply by number of sites; and

(c) shares of capacity.²⁸

Table 1: National RMS shares

<i>Supplier</i>	<i>Revenue (£m)</i>	<i>Share by revenue (%)</i>	<i>Number of sites</i>	<i>Share by number of sites (%)</i>	<i>Capacity (boxes m)</i>	<i>Capacity (%) of total</i>
Iron Mountain	[X]	[40–50]	38	[20–30]	[X]	[40–50]
Recall	[X]	[5–10]	13	[10–20]	[X]	[10–20]
<i>Combined</i>	[X]	[50–60]	51	[30–40]	[X]	[50–60]
Restore	[X]	[X]	[X]	[X]	[X]	[X]
TNT	[X]	[X]	[X]	[X]	[X]	[X]
Crown	[X]	[X]	[X]	[X]	[X]	[X]
Wincanton	[X]	[X]	[X]	[X]	[X]	[X]
PHS	[X]	[X]	[X]	[X]	[X]	[X]
Box-It	[X]	[X]	[X]	[X]	[X]	[X]
Total	[X]	[X]	[X]	[X]	[X]	[X]

Source: Parties and third parties.

91. The CMA estimates that the Parties have a combined shares in the supply of RMS to national customers in the UK of:

²⁷ Feedback from competitors suggested that customers with a national requirement account for 30% of their RMS revenues. The CMA also attempted to test this with the Parties. The CMA notes the Parties observations that their original estimate was an overestimate and subsequent submissions on the appropriate split reflecting something nearer to [X]%. The CMA has therefore used the estimate of 30%, which is consistent with third party responses, to determine the revenue arising from sales to national customers.

²⁸ The CMA gathered evidence from third parties on capacity and spare capacity on a national basis. Iron Mountain and Recall provided a measure of both capacity and racked capacity. Capacity is how much the site could hold if it was entirely shelved ('racked'). Racked capacity is how much can be stored on the shelves currently on sites. The CMA has cautiously considered racked capacity as it is unclear on the evidence received from the Parties and third parties how long it would take to fully rack all relevant sites. Where capacity information was provided in cubic feet, the CMA used an average box size of 1.1 cubic feet to measure capacity in terms of boxes (as per Iron Mountain's submissions). Recall only provided an overall measure of capacity based on overall cubed footage (Iron Mountain and all other competitors provided this split). The CMA split this cubed footage in proportion to Recall's revenues for RMS and OSDP. It is not clear whether this will over or underestimate Recall's capacity. [X] did not provide an estimate of total capacity, only that they have [X]% spare capacity. The CMA used a weighted average of revenue figures to calculate [X] spare capacity.

- (a) [50–60]% (increment [5–10]%) by revenue;
 - (b) [30–40]% (increment [10–20]%) by number of sites;
 - (c) [50–60]% (increment [10–20]%) by capacity.
92. The above shows that the Parties will have substantial shares post-Merger. Furthermore, large rivals' shares will remain significantly smaller across all metrics used. Shares range between 2% and 14% across the Parties' large rivals by revenue. In terms of shares of sites, Restore with [20–30]% has the most significant position relative to the Parties, with the remainder of competitors ranging between 4 and 13%.
93. Therefore, in line with the CMA's Merger Assessment Guidelines, and in the context of the considerations outlined above, the CMA believes that these shares indicate that unilateral effects are realistic as the Merger will result in the Parties having a large share of supply and facing a relatively fragmented set of rivals.²⁹ Given this position, it would become increasingly difficult for smaller rivals to win sizeable contracts against Iron Mountain who can take advantage of a much greater network of sites. The CMA discusses below additional evidence to test the validity of this approach in this case.

Closeness of competition

94. Iron Mountain submitted that the Parties are not uniquely close competitors in the supply of RMS to national customers in the UK as:
- (a) Services are relatively homogenised such that all suppliers can provide a similar service;
 - (b) Evidence on customer switching does not reflect a significant degree of systematic switching between the Parties; and
 - (c) Recall has [£] revenues from national customers, suggesting that its national scope is limited and as such that it is not constraining Iron Mountain significantly on a national basis.
95. As explained in paragraph 88, while these services could be considered broadly undifferentiated, there is scope for differentiation in terms of a national offering. The CMA has further assessed Iron Mountain's submissions by looking at a broad range of evidence in determining the significance of the Parties' position relative to each other, in particular:

²⁹ [Merger Assessment Guidelines](#), paragraph 5.3.4 and 5.4.4.

- (a) Evidence on national service proposition (in terms of geographic scale and third party comments);
- (b) Evidence on the significance of Recall's constraint on Iron Mountain as reflected in the Parties' internal documents and third party responses;
- (c) Evidence on bidding data from third parties; and
- (d) Evidence on customer switching from the Parties.

National service proposition

- 96. The CMA considers that although Recall's national scale is not as significant as Iron Mountain's, based on the number, capacity and location of sites, Recall has the scope and scale to provide a national offering comparable to Iron Mountain's. More specifically, Recall has 13 sites with significant capacity spread across Scotland, the Midlands, the North West and South East of the UK.
- 97. Responses to the CMA's market testing support this conclusion, as the majority of national customers consider the Parties to be competing closely, in terms of service proposition (retrieval times, quality and security of facilities) and, in particular, the geographic scale of their networks and capacity. The majority of customers and all competitors considered the Parties to be close competitors.

Evidence on the significance of Recall's constraint from internal documents

- 98. Internal documents submitted by Iron Mountain suggest that it views Recall as a close competitor not only globally but also in the UK as a whole. In particular:
 - (a) [REDACTED];³⁰
 - (b) [REDACTED]: '[REDACTED]';³¹
 - (c) [REDACTED].³²
- 99. In addition, as noted above in the context of the frame of reference, [REDACTED]. Internal competitive assessment provided by one third party also confirmed Recall's focus on larger accounts.

³⁰ [REDACTED]

³¹ [REDACTED]

³² [REDACTED]

Evidence on bidding data

100. Bidding data available from customers and competitors suggested that the Parties often tend to be ranked first and second when bidding for the same tender. Five national customers were able to provide bidding data on one tender process each where the prospective suppliers were known. On three occasions, the Parties bid against each other, and on two of these occasions they came first and second.
101. The CMA considers that this is a further indication of the Parties' closeness. However, the CMA recognises that it is based on a limited number of contracts, and as such can be relied on to only a limited extent and should be treated with caution and considered in the context of all the evidence.

Evidence on customer switching

102. Iron Mountain provided evidence on the customers that it has lost in the last three years. The CMA estimates that the annual value of the contracts lost is approximately [REDACTED]% of Iron Mountain's RMS total revenues last year.
103. Iron Mountain was able to provide details on the new supplier for these customers in approximately [REDACTED]% of instances. On the basis of this sample, Iron Mountain submitted that customers are not switching to Recall in significant numbers or values, with switches to Recall representing approximately [REDACTED]% of the revenues and only [REDACTED] of the contracts lost in that time.
104. The CMA notes that there are difficulties in determining the extent to which this data could be considered informative of competitive constraints on Iron Mountain in relation to national customers. In particular:
- (a) The data set is not a complete record of customer switches;
 - (b) It is unclear the extent to which the data set actually reflects these customers' geographic requirements [REDACTED]³³ [REDACTED];
 - (c) To the extent that the data set does in fact reflect the switching of customers active in only one geographic region, it is not necessarily reflective of the alternative suppliers available to national customers switching away from Iron Mountain.
105. Notwithstanding the above, the CMA notes that while Recall represents a [REDACTED] number of switches these represent a relatively [REDACTED] value, broadly in line with

³³ [REDACTED]

the value of contracts in this sample lost to other national competitors such as [X], [X], [X] (while [X] accounts for a relatively higher value of contracts lost).

Conclusion on closeness of competition

106. The CMA considers that the evidence set out above indicates that the Parties are competing closely to supply national customers. In particular, Recall's geographic reach is UK wide and represents a realistic choice for customers requiring national supply.

Competitive constraints

107. The CMA considered the evidence from the sources outlined above for the purposes of assessing the remaining competitive constraint. The CMA has used this evidence to consider: (i) the ability of the large rivals to compete on a national basis and (ii) the constraint they would pose on the Parties post-Merger.

National service proposition

108. Evidence from third party comments and geographic coverage indicates that Crown, PHS and Restore appear to have the ability to supply national customers. In particular, each has a network with sites in similar locations to Recall:
- (a) Restore has 34 sites located across each of the regions in which Recall is active as well as in the South West, the North East and East;
 - (b) Crown has 18 sites located across each of the regions in which Recall is active as well as in Wales, the South West, the North East and East;
 - (c) PHS has eight sites located across each of the regions in which Recall is active as well as in Wales.
109. With regard to the other large rivals, the CMA notes that TNT and Wincanton³⁴ may be restricted in their ability to compete as a result of their weaker geographic presence. TNT has ten sites though none north of Derby and may therefore be more regional in its reach. Wincanton appears to be more focused in the South with four sites in total located in Essex, Bristol and

³⁴ The CMA notes that on that basis, the merger with Restore does not significantly alter Restore's competitive offering for the purposes of determining the impact of its constraint in this investigation.

Birmingham. In relation to Box-IT, the CMA considers on the basis of consistent customer and competitor feedback that [REDACTED].

Evidence on the significance of the competitive constraints

110. The evidence available to the CMA indicates that Restore, Crown and PHS may nonetheless be unable to fully replace the constraint lost through the acquisition of Recall. In particular:
- (a) The CMA estimates that all large rivals' spare capacity accounts for only [REDACTED]% of the Parties' total boxes stored.³⁵ Therefore, only a limited number of the Parties' customers could switch to these competitors in the event of a price increase.
 - (b) Customers with national requirements also generally regarded the Parties as the strongest providers of these services. With the exception of Crown, the strength of the other large competitors' offerings was generally regarded as weak, or in a limited number of instances, as moderate. Customers did not highlight any other significant competitors that were not previously identified by the Parties. Customers were particularly concerned regarding alternative suppliers' abilities to serve larger customer demand in terms of scale and network.
 - (c) The Parties' internal documents [REDACTED], which may be indicative of the lack of constraint imposed by these competitors.
 - (d) In addition, competitive commentary on the large rivals received from one supplier suggests that not all of these players would compete fully against the Parties. For example, one large rival discussed above as potentially capable of serving national customers noted that they 'wanted to avoid challenging Recall at the top end of the market'.
111. Also, as discussed above, the Parties provided switching data and the CMA notes that [REDACTED]³⁶ do not appear to represent a substantial number of switches. However, due to its limitations (described above), the CMA does not consider that the switching evidence can be considered as particularly indicative in this context.

³⁵ See footnote 26 regarding the calculation of estimates.

³⁶ [REDACTED]

Conclusion on competitive constraints

112. The CMA therefore considers that the competitive constraint provided by alternative suppliers post-Merger may be insufficient to offset the loss of competition between the Parties as a result of the Merger.

Conclusion on horizontal unilateral effects for the supply of RMS in the UK

113. Based on the evidence set out above, the CMA considers that the Parties have high combined shares of supply of RMS to national customers by revenue and capacity, are close competitors and that the remaining competitors are insufficient to offset the loss of competition between the Parties as a result of the Merger.
114. Accordingly, the CMA believes that the Merger may be expected to result in an SLC in relation to the supply of RMS in the UK.

Supply of OSDP services to national customers in the UK

Shares of supply and sites

115. As described in relation to RMS, the CMA considers that shares of supply by revenue can provide a helpful indicator of relative competitive strength for the purposes of its assessment of this Merger, and has therefore considered these in the assessment that follows. The CMA notes in this regard that:
- (a) Evidence from third parties' and Iron Mountain's submissions indicates that the supply of OSDP services is broadly undifferentiated, in that there is a large focus on price, though suppliers remain differentiated in terms of geographic scope, scale and ability to meet retrieval times.
 - (b) Evidence from third parties did not indicate any significant switching costs in relation to OSDP.
116. The CMA considers that shares of sites can also be informative in this context as they provide an indication of the scale of the network held by these competitors both locally/regionally and at the national level.
117. Although shares of sites do not take into account the potentially different sizes of each provider's sites, the CMA was unable to calculate shares of capacity dedicated to OSDP on a consistent basis, due to data limitations. The CMA did however receive some indications of capacity during the course of its market testing which are referred to below.

118. On this basis, as shown in Table 2 below, the CMA has estimated the shares for the Parties and their large rivals on the basis of the following measures:

(a) Shares of supply by revenue;

(b) Shares by number of sites.

Table 2: National OSDP

<i>Supplier</i>	<i>Revenue (£m)</i>	<i>Market share by revenue (%)</i>	<i>Number of sites</i>	<i>Share by number of sites (%)</i>
Iron Mountain	[X]	[80–90]	16	[20–30]
Recall	[X]	[5–10]	13	[20–30]
Combined	[X]	[80–90]	29	[40–50]
Wincanton	[X]	[X]	[X]	[X]
Crown	[X]	[X]	[X]	[X]
Restore	[X]	[X]	[X]	[X]
TNT	[X]	[X]	[X]	[X]
PHS	[X]	[X]	[X]	[X]
Total	[X]	[X]	[X]	[X]

Source: Parties and third parties.

119. The CMA estimates that the Parties have a combined share of the supply of physical OSDP to national customers in the UK of:

(a) [80–90]% (increment [5–10]%) by revenue; and

(b) [40–50]% (increment [20–30]%) by number of sites.

120. The above shows that the Parties will have substantial shares post-Merger. Large rivals' shares are significantly smaller in terms of revenue ranging between 1% and 5% across the Parties' large rivals. In terms of shares of sites, Crown with [10–20]% has the most significant position relative to the Parties, with the remainder ranging between 2% and 8%.

121. In line with the CMA's Merger Assessment Guidelines, and in the context of the considerations outlined above, the CMA therefore considers that these shares indicate that unilateral effects are likely as the Merger will result in the Parties having a large share of supply.³⁷ The CMA discusses below additional evidence to test the validity of this approach in this case.

Closeness of competition

122. The CMA has examined the closeness of competition between the Parties based on the evidence available from the sources discussed in paragraphs 96

³⁷ [Merger Assessment Guidelines](#), paragraph 5.3.4 and 5.4.4.

to 106. This evidence suggests that the Parties are competing closely in the supply of physical OSDP in the UK as:

- (a) Responses to the CMA's market testing broadly indicate that both customers and competitors consider the Parties to be closely competing in terms of service proposition and, in particular, geographic scale of their networks and capacity.
- (b) As noted above, internal documents submitted by Iron Mountain suggest that it views Recall as a close competitor across the services that they provide, with no particular distinction made by type of service.

123. The CMA also notes that customer switching evidence provided by Iron Mountain indicates that in nearly [REDACTED] of identifiable instances, OSDP customers lost by Iron Mountain are switching to Recall. However, as above, the reliability of this evidence is limited by the fact that: (i) competitors can only be identified in [REDACTED]% of switching instances; and (ii) it is not clear the extent to which the data can be related to national customer requirements.

Competitive constraints

124. The CMA has considered whether there are alternative suppliers that would provide a competitive constraint on the merged entity, including from the Parties' large rivals. The CMA also considered the extent to which the Parties were constrained by electronic OSDP.

Other OSDP suppliers

125. The evidence available to the CMA from market testing indicates that all other suppliers have very limited activities in relation to physical OSDP. In addition, while direct comparisons are difficult due to the different units used by suppliers to measure capacity, it is clear that in terms of tapes stored, the Parties will have significant capacity relative to other competitors.

126. Customers generally regarded the Parties as having the strongest offering for these services, while the large rivals, where comments were provided, were generally considered to be weak. Customers did not highlight any other significant competitors not previously identified by the Parties.

127. As described above, the Parties submitted limited internal documents referring to competitors [REDACTED]. [REDACTED].

128. Therefore, this evidence suggests that remaining suppliers may not exert a sufficient constraint on the Parties, post-Merger.

Electronic OSDP

129. In support of their submissions that electronic OSDP poses a significant constraint on the supply of physical OSDP, the Parties submitted data on OSDP customers lost. In this regard, Recall estimated that approximately [REDACTED]% of its OSDP contract terminations in the last fiscal year were due to ‘technology change’ – which the Parties submit represents a switch to either in-house or cloud-based storage.
130. In addition, Iron Mountain estimated that approximately [REDACTED]% of its OSDP contract terminations in the last three years resulted from customers’ decisions to move to cloud-based storage.
131. However, the CMA considers that it is difficult at this stage to determine the extent to which this data can be considered informative for the purposes of determining the constraint imposed by electronic OSDP. In particular:
- (a) The CMA estimated that Recall customers switching due to technological change only represented [REDACTED]% of customers lost by revenue;
 - (b) The number of instances where the reason for loss is identifiable in the Recall sample represented only [REDACTED]% of the total customer losses;
 - (c) The CMA estimated that Iron Mountain’s customers switching due to technological change only represented [REDACTED]% of lost customers by revenue.
132. In addition, other evidence available to the CMA suggests that electronic OSDP might not impose a sufficiently significant constraint on the supply of physical OSDP. In particular an Iron Mountain internal document [REDACTED].³⁸

Conclusion on horizontal unilateral effects for the supply of OSDP in the UK

133. Based on the evidence set out above, the CMA considers that the Parties have high combined shares of supply of OSDP to national customers, are each other’s closest competitors, and that the competitors remaining are insufficient to offset the loss of competition between the Parties as a result of the Merger. In addition, the CMA has not found evidence that electronic OSDP represents a constraint such that it would sufficiently mitigate the competition lost as a result of the Merger.

³⁸ [REDACTED]

134. Accordingly, the CMA believes that the Merger may be expected to result in an SLC in relation to the supply of OSDP in the UK.

Supply of RIMS, including specialist services, to oil and gas customers in Aberdeen and Dundee

135. As above, the CMA considered evidence on shares of supply, closeness of competition and remaining competitive constraint in the supply of RIMS, including specialist services, to oil and gas customers in Aberdeen and Dundee.
136. Only three suppliers were considered credible by customers responding to the CMA's market testing: the Parties and CGG. On the basis of revenues across this supplier set, the Parties have a very high market share of approximately [80–90]% (increment [10–20]%).
137. A significant proportion of third parties noted that the Parties were closely competing. This was supported by bidding evidence, which suggested that the Parties and CGG regularly bid against each other and the Parties generally came first and second across the instances identified.³⁹
138. The CMA noted the Parties' submissions on non-specialised suppliers' ability to constrain the Parties in the supply of RIMS, including specialist services, to oil and gas customers. Therefore, the CMA also tested with customers the extent to which eight⁴⁰ other specialised and non-specialised local suppliers identified by Iron Mountain could be considered an alternative. None of the customers responding to the CMA's market testing indicated that these suppliers would offer a suitable alternative. In this context the CMA also notes that an internal Recall document discussing the C21 acquisition confirms [REDACTED]: '[REDACTED]'.⁴¹
139. Therefore, the CMA believes that the Merger may be expected to result in a realistic prospect of an SLC in the supply of RIMS, including specialist services, to oil and gas customers in Aberdeen and Dundee.

³⁹ Four customers of specialist services provided bidding data for the provision of RIMS to oil and gas customers. One customer renewed an existing contract with Iron Mountain and did not market test further. The remaining three customers all tendered to Iron Mountain, Recall (or C21, who Recall recently acquired) and CGG (or Fugro, who CGG acquired). In two cases Iron Mountain and Recall came first and second, and in a third case Iron Mountain won (it is not clear who came second and third).

⁴⁰ These were: ALS Petrophysics, Box-It, Capture All, KPC, United Supplies, S4U, Shore Porters, TNT.

⁴¹ [REDACTED]

Supply of RMS and OSDP at local/regional level

Methodology for assessment

140. The CMA's assessment of the local/regional aspects of the Merger has been based on the following methodology:
- (a) The CMA identified the relevant overlaps using two catchment areas around each Recall site:⁴² (i) 50 miles (based on third party feedback); and (ii) Recall's estimated catchment areas (based on retrieval distances for customers that account for 80% of a warehouse's stored RMS.⁴³ Generally, the 50 mile catchment area was wider than the 80% catchment area.
 - (b) The CMA has assessed the impact of the Merger on a local basis where a Recall site overlapped with an Iron Mountain site. Every Recall site overlapped with an Iron Mountain site in one or both of the two catchment areas described above. The CMA has therefore assessed the local/regional effects of the Merger across the following local areas: Midpoint Park, Ike, Hoddeston, Kidbrooke, Stockwell, Heywood, Warrington, Northampton, Rugby and Crayford.
 - (c) The CMA has considered the combined shares of sites in each overlap area for each catchment area, noting that shares of supply by revenue were not available at local area level.⁴⁴
 - (d) For the purposes of calculating these shares, the CMA included all large rivals' sites.
 - (e) The CMA notes that the average size of Iron Mountain and Recall sites is larger, in terms of the number of boxes that they can hold, compared to the sites of each of the competitors, with the exception of Wincanton. As such, shares of sites understate the Parties' position relative to competitors (unless the only effective competitor is Wincanton).

⁴² The CMA excluded the two Dundee and one Aberdeen site from this analysis as it is considered separately elsewhere.

⁴³ Except for where the resulting catchment area size seemed anomalous. This occurred in four instances. In relation to the Ike site, the CMA used only the 50 mile catchment as the 80% catchment area was very narrow. In three instances (Northampton, Warrington and Rugby) the CMA used only the 50 mile catchment as these catchment areas were either very wide, or [X].

⁴⁴ The CMA notes that shares of sites tend to be insensitive to the size of the catchment area used – as catchment areas are widened, more Iron Mountain sites tend to be captured alongside other competitor sites, keeping the share of sites broadly constant (due to the large number of Iron Mountain sites across the country).

Therefore, as a sensitivity check on the shares of sites calculated, the CMA also estimated shares of capacity in each local area.⁴⁵

- (f) On a cautious basis, the CMA has not included local suppliers identified by Iron Mountain in its share calculation as the CMA has not received sufficient evidence that all of these suppliers would offer a sufficiently similar service proposition to the Parties and their large rivals so as to be able to impose a credible constraint (eg, the CMA understands that some competitors may not offer retrieval services). In particular, there was some indication from local customers that they may, on the basis of reputation and quality assurance, have some preference for larger suppliers.

141. In summary, including only large rivals, based on the methodology and evidence outlined above, the CMA has found that the Parties have a share of sites greater than 40% in one or both catchment areas for:

- 7 local areas for RMS on a share of sites basis;⁴⁶
- All 10 local areas for RMS on a share of capacity basis;⁴⁷ and
- All 10 local areas for OSDP on a share of sites basis.

142. Given the relatively high market shares in these areas and the limited remaining competition, the CMA cannot rule out that the Merger may result in a realistic prospect of an SLC in these areas. However, on the basis that the Merger gives rise to a realistic prospect of an SLC on a national basis for the supply of RIMS and OSDP, the CMA has not found it necessary to conclude on whether the Merger gives rise to a realistic prospect of an SLC in the supply of RMS and OSDP to local customers.

Barriers to entry and expansion

143. Entry, or expansion of existing firms, can mitigate the initial effect of a merger on competition, and in some cases may mean that there is no SLC. In assessing whether entry or expansion might prevent an SLC, the CMA

⁴⁵ For RMS, this estimate has been based on: (i) capacity at each Iron Mountain and Recall site as provided in Annexes 12.3 and 12.4 of the Final Merger Notice; (ii) capacity at each competitor's site based on that competitor's average capacity per site. The CMA notes that capacity per competitor site may vary and as such has used this analysis only as a sensitivity on the share of site analysis described. As noted above, for OSDP, due to the limited data available, the CMA was unable to calculate shares of capacity.

⁴⁶ Midpoint Park, Ike, Hoddeston, Kidbrooke, Stockwell, Warrington, Crayford.

⁴⁷ For the three areas where the combined share of sites for RMS was less than 40% (Heywood, Northampton and Rugby), the Parties combined share of capacity was [50–60]%, [40–50]% and [40–50]% respectively.

considers whether such entry or expansion would be timely, likely and sufficient.⁴⁸

144. Iron Mountain submitted that opening a new storage site can be achieved quickly and at relatively low cost.⁴⁹
145. Evidence from competitors confirmed that expanding existing sites by adding racking and opening new sites can be done relatively quickly (within six months for a new site).
146. However, competitors noted that perm-out fees have the effect of limiting the extent of customer switching and deterring potential new entry and the expansion of existing rivals.
147. In this context, while some competitors indicated a willingness to expand in the short term they noted that the costs and time involved would be significant and would generally only be undertaken in response to having won a large, long-term customer contract and with some expectation of any spare capacity remaining being utilised.
148. Therefore, although the CMA notes that a number of competitors provided examples of recent expansion and further plans to do so in the short term, on the evidence available, the CMA considers that this will be insufficient to offset the concerns found above.
149. Therefore, the CMA believes that entry or expansion would not be sufficient to prevent a realistic prospect of an SLC as a result of the Merger.

Third party views

150. The CMA contacted customers and competitors of the Parties. Just under half of the customers responding to the CMA's market testing raised concerns regarding the impact of the Merger on the supply of RIMS. Many competitors also raised concerns regarding the consolidation of the Parties' position in the supply of RIMS generally.
151. Third party comments have been taken into account where appropriate in the competitive assessment above.

⁴⁸ [Merger Assessment Guidelines](#), from paragraph 5.8.1.

⁴⁹ [REDACTED].

Conclusion on substantial lessening of competition

152. Based on the evidence set out above, the CMA believes that it is or may be the case that the Merger may be expected to result in an SLC as a result of horizontal unilateral effects in relation to the supply of:
- (a) RMS to national customers in the UK;
 - (b) OSDP to national customers in the UK; and
 - (c) RIMS, including specialist services, to oil and gas customers in Aberdeen and Dundee.
153. The CMA has not found it necessary to conclude in relation to the supply of RMS and OSDP on a local/regional basis.

Decision

154. Consequently, the CMA believes that it is or may be the case that the Merger may be expected to result in an SLC within a market or markets in the United Kingdom.
155. The CMA therefore believes that it is under a duty to refer under section 33(1) of the Act. However, the duty to refer is not exercised⁵⁰ whilst the CMA is considering whether to accept undertakings⁵¹ instead of making such a reference. The Parties have until 7 January 2015⁵² to offer an undertaking to the CMA.⁵³ The CMA will refer the Merger for a phase 2 investigation⁵⁴ if the Parties do not offer an undertaking by this date; if the Parties indicate before this date that they do not wish to offer an undertaking; or if the CMA decides⁵⁵ by 14 January 2015 that there are no reasonable grounds for believing that it might accept the undertaking offered by the Parties, or a modified version of it.

Andrea Coscelli
Executive Director, Markets and Mergers
Competition and Markets Authority
30 December 2015

⁵⁰ Section 33(3)(b) of the Act.

⁵¹ Section 73 of the Act.

⁵² Section 73A(1) of the Act.

⁵³ Section 73(2) of the Act.

⁵⁴ Sections 33(1) and 34ZA(2) of the Act.

⁵⁵ Section 73A(2) of the Act.